MARGIN DIAGNOSTIC · STRUCTURED BUSINESS AUDIT · WEAKEST-LINK ANALYSIS

The Margin Leaking Out of Every Job

A sample Margin Diagnostic for a busy, growing home-services firm that books plenty of work and still barely keeps a profit. It names the one operational leak draining the margin, proves it with the firm's own numbers, and ends in a fix the owner can put in front of the crew on Monday. The finding: every job is priced by gut in the field and the true cost is never captured per job, so margin bleeds out one ticket at a time, invisibly. Every section ends in a concrete next step.

SUBJECT	ENGAGEMENT	METHOD
A busy home-services firm (illustrative composite)	Margin Diagnostic	A structured business audit, weakest-link analysis, and an independent red-team review of the firm's own numbers

Margin Diagnostic · Evidence: the firm's own job tickets, pricing, and operations · Findings independently stress-tested

1	5–15 pts*	90 days	Monday
BINDING CONSTRAINT (FIX INCLUDED)	MARGIN A QUIET LEAK CAN COST*	TO THE FIX INSTALLED & RUNNING	WHEN THE FIRST FIX CAN GO LIVE

*Illustrative range, not a measured figure. The real number comes from your own job data in a diagnostic.

▸ Executive Summary / TL;DR

EXECUTIVE TL;DR -- READ THIS IN 60 SECONDS

The firm is busy and the work is good. The one thing standing between it and a real profit is a pricing standard: every job priced the same way to a target margin, and the true cost of each job captured, so the margin stops leaking out one ticket at a time.

WHAT TO DO (THIS WEEK)

1. Build one standard estimate, priced to a target margin, that every job uses. No more pricing by gut in the truck. (Section 03, ready to use.)
2. Add a change-order rule: every change in scope gets written down and priced before the work happens, not absorbed for free. (Section 03.)
3. Start a 10-minute weekly job-cost review: quoted versus what the job actually cost, so you finally see which work makes money. (Section 03.)

THE PLAN (90 DAYS, MARGIN BACK ON EVERY JOB)

0 to 30: build the standard, train the crew, every new estimate runs through it.

30 to 60: first weekly cost reviews, plug the change-order and material leaks, see real per-job margin for the first time.

60 to 90: new work lands at target margin; reprice the recurring and maintenance work to match.

WHY THIS, IN ONE LINE (THE DATA IS BELOW)

Busy schedule, happy customers, thin and unpredictable profit. That combination means the leak is not demand and not quality. It is between winning the job and getting paid for it: jobs priced by gut, change orders and materials uncaptured, and no view of what any job actually cost. That is a structure problem (no standard), not a pricing-knowledge or sales problem. Every section below ends in a concrete do-this, backed by the evidence that says so.

WHAT STANDING STILL COSTS

The standard is the cheapest fix in this report and the most expensive thing to keep missing. Every month it does not exist is another month of jobs priced blind, margin handed back on change orders, and no idea which work to chase or drop. The setup is a couple of weeks; the leak is permanent until the standard exists, and it bills every single job in between. The full sizing is in Section 02.

Jump to the keystone fix (the standard) →

00 The Verdict -- One Sentence

THE BINDING CONSTRAINT -- ONE SENTENCE

The business does not have a demand problem; the phone rings and the crews stay busy. It has a margin problem at the one place that compounds: every job is priced by gut in the field and the true cost is never captured per job, so the firm wins the work and then quietly gives the profit back, one ticket at a time. The binding constraint is the missing standard: a documented estimate priced to a target margin, a rule that every change order gets captured, and a quick review of what each job actually cost.

The leak is invisible from the inside because it never shows up as one big loss. It shows up as a few points of margin on this job, an unbilled change order on that one, materials marked up by feel on the next. Across hundreds of tickets a year it adds up to the difference between busy and profitable. The owner is not bad at pricing; he came up on the tools and knows the work cold. The problem is upstream of skill: judgment that lives only in one person's head cannot be trained into a crew, checked after the fact, or trusted to hold under a busy week. The fix is not "raise prices." Raising prices on top of a leaky estimate just raises the variance. The fix is to build the standard, so the same job gets priced the same way, to a known margin, every time, by anyone.

THE KEYSTONE OF THE WHOLE TURNAROUND: ONE STANDARD ESTIMATE

Strip everything else away and the single highest-leverage move in this report is **pricing every job the same way, to a target margin, every time, and capturing what each job actually cost**. It directly unblocks the binding constraint: consistent pricing is exactly what is missing, and margin visibility only becomes possible once there is a standard to measure against. Everything downstream (more jobs, bigger jobs, recurring contracts) multiplies a healthy margin and multiplies a broken one just as fast. The standard is how the owner's hard-won pricing judgment gets written down once, applied by the whole crew, and finally checked against reality.

▸ **Read First -- The Whole Diagnosis in Plain English**

READ THIS FIRST -- THE WHOLE DIAGNOSIS IN PLAIN ENGLISH

The firm is busy and the work is good. Fix the estimate, not the funnel.

The instinct in a thin year is to chase more leads or raise prices across the board. Both are the wrong move here, and the firm's own numbers say so. Three ideas explain the rest.

1. The demand question is closed. Stop chasing more leads.

The phone rings, the schedule is full, the crews are working. More volume is not the problem and would not help; pouring more jobs through a leaky estimate just leaks faster. The constraint is not at the top of the funnel. It is at the point where a job gets priced and costed.

2. The work is good. The leak is between winning the job and getting paid for it.

Customers are happy and they rebook, so delivery is not the leak either. The money is lost in the two feet between "we won the job" and "we got paid what it was worth." Jobs are priced from memory and feel, so two techs quote the same work at different numbers. Change orders get done in the moment and never make it onto the invoice. Materials get marked up by habit, or not at all. None of it is theft or laziness; it is the absence of a standard.

3. The improvising is a habit with no standard on it.

The same instinct that makes the owner good in the field, reading a job fast and pricing it on experience, is what turns pricing into a guess the moment he is not the one doing it. Experience in one head cannot be copied into a crew, checked at the end of the month, or held steady on a busy day. That is not a discipline problem you fix by trying harder. It is a structure problem you fix with a standard. And the owner has already proven he can build one: he runs a tight schedule and a documented truck-stock system so the trucks are never short. He solved that exact problem for the schedule. He has never solved it for the estimate. The fix is to build for pricing what he already built for the schedule.

THE MOVE, BEFORE ANY TACTIC

Build the standard first. Then run volume through it. One documented estimate priced to a target margin, a change-order capture rule, and a weekly job-cost review, in place before the next price increase or marketing push.

DO THIS FIRST

Build the standard

One estimate template priced to a target margin that nobody improvises around. A change-order rule. A weekly review of quoted versus actual cost. This is the keystone. It is Section 03, in full, ready to put in front of the crew.

THEN, AND ONLY THEN

Scale the volume

More jobs, bigger jobs, recurring contracts. The demand is there. But more volume on a broken estimate just loses margin faster. Volume multiplies whatever margin the standard sets. Standard first, volume second.

The recommendation: build the standard this month, train the crew on it, and do not raise prices across the board until the estimate is consistent. The demand is real, the work is good, and the one thing missing is a structure the owner already knows how to build. That is a fixable, mechanical problem, not a market or talent one.

▸ Margin Engine Maturity Score

This is a weakest-link diagnosis, not a report card. It scores the eight parts of the margin engine so you can see where the engine actually breaks and fix that part first, instead of polishing the parts that already work.

HOW TO READ IT: THE FOUR LEVELS

L1
Absent or broken. Not there, or there but not working.

L2
Inconsistent or drifting. Exists but keeps changing or wobbling.

L3
Documented and operational. Written down and actually used.

L4
Fully built and mature. Solid, repeatable, runs on its own.

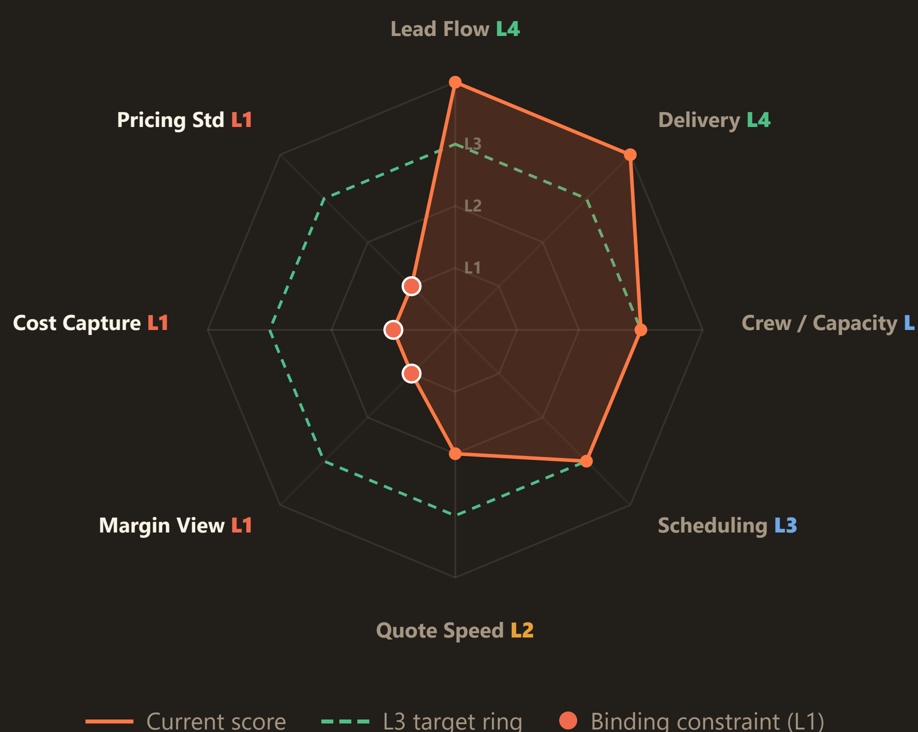
THE TARGET

The goal is simple: **no margin-critical dimension below L3.** You do not chase L4 everywhere. You raise the binding (lowest) one first, then the next lowest, until nothing critical sits at L1 or L2.

WHY THE LOWEST SCORE IS THE ONE THAT MATTERS

A business performs at its weakest link, not its average. A chain with seven strong links and one broken one still breaks at the broken one. That is why this firm runs on its lowest score, not its highest: the margin can only be as healthy as the part that is failing. So the highest-value move is always to find the lowest score and raise it. Everything above it is already waiting on it.

MARGIN ENGINE, ALL EIGHT DIMENSIONS · CURRENT VS L3 TARGET



The dent points at the fix. The orange shape is where the engine is today; the dashed green ring is the L3 target. The whole shape pushes outward to L3 and L4 on top and right (lead flow, delivery, crew, scheduling) and collapses to the center on the lower-left, where three dimensions sit at L1: the pricing standard, cost capture, and margin visibility. The radar makes the weakest link visible at a glance, and the deepest part of the dent is where to start.

THE SAME EIGHT, RANKED WEAKEST-FIRST

Pricing Standard BINDING 1ST — L1 NO STANDARD

Cost Capture BINDING 2ND	L1 LEAKING
Margin Visibility	L1 FLYING BLIND
Quote Speed	L2 INCONSISTENT
Scheduling / Dispatch	L3 DOCUMENTED
Crew & Capacity	L3 SOLID
Delivery Quality	L4 EXCELLENT
Lead Flow	L4 STRONG

THREE DIMENSIONS SIT AT L1. HERE IS WHY THE PRICING STANDARD IS BINDING FIRST.

The three low scores are really one missing thing seen from three angles: prices are inconsistent (no standard), costs are uncaptured (change orders and materials), and margin is therefore invisible. They are not a tie. The pricing standard is binding first, because cost capture and margin visibility both depend on having a standard to measure against: you cannot see whether a job beat or missed its margin until there is a target margin it was supposed to hit. Build the standard first, then capture costs against it, then the margin view appears almost for free. Fix it in that order and the L3 and L4 strengths (a full schedule, good crews, happy customers) finally have a healthy margin to sit on.

The full diagnostic is below, collapsed. Click any header to expand it, or use the jump nav. The keystone is Section 03, The Fix: The Standard, with a ready-to-use estimate structure, change-order rule, and weekly review. It is followed by a 30/60/90 plan (04) and the real risks to watch (05).

01 Diagnosis -- Issue Tree, 5 Whys, and the Margin Math

The core analytical work. A structured audit looked at every part of the business; the break is not where most owners expect it. Where it actually breaks is shown here, with the firm's own evidence and the math behind it.

THE QUESTION

Why is a busy, growing firm barely profitable, and what is the single thing to fix first to put margin back on every job?

The issue tree: why is the margin thin?

BRANCH	IS THIS WHERE IT BREAKS?	VERDICT
Enough demand?	Yes. Phone rings, schedule full, crews busy.	Not the break
Work good enough?	Yes. Customers happy, they rebook and refer.	Healthy
Does the owner know how to price?	Yes. Came up on the tools, knows the trade cold.	Not the break
Priced consistently to a target margin?	No. Every job priced by gut; two techs, two numbers.	**BREAKS FIRST**
Costs captured per job?	No. Change orders unbilled; materials marked up by feel.	**BREAKS (downstream of pricing)**
Margin visible per job?	No. No view of what any job actually cost or earned.	Real, fixed by the standard
Crew and capacity?	Solid. Good people, scheduled tight.	Healthy

WHERE OWNERS LOOK · VS WHERE THE MARGIN ACTUALLY LEAKS

Fix the leak, not the funnel. The reflex in a thin year is to chase more leads or raise prices across the board. But the margin leaks one step earlier, at the estimate, so more volume just leaks faster and a blanket price hike just raises the variance. What it means for you: the first dollar goes into the estimate, not the top of the funnel.

5 Whys -- driven to the real root

1. **Profit is thin despite a full schedule.** Why? Too many jobs come in under the margin they should earn.

2. **Why?** Every job is priced by gut in the field, so the number swings with who quoted it and how the day was going.

3. **Why is it priced by gut?** There is no standard estimate priced to a target margin, so each quote is built from scratch and from memory.

4. **Why has the leak stayed hidden?** Change orders and material markups are never captured per job, and nobody reviews quoted versus actual cost, so a missed-margin job looks the same as a good one.

5. **Why has trying harder not fixed it?** Because it is being treated as a discipline problem (price better, remember to bill the extras) when it is a structure problem. Judgment in one head cannot be repeated by a crew or checked at month-end.

6. **Root: a firm pricing the most important number in the business by gut, with no standard estimate and no capture of what each job actually costs. The margin leak is downstream of the missing standard, and the invisibility of it is downstream of no cost capture.**

> **THE NON-OBVIOUS BRIDGE (THE STRENGTH, TURNED INTO A SYSTEM)**
>
> The trait that makes the owner great in the field is the same trait that costs him the margin. Reading a job fast and pricing it from experience is a gift on the truck. But a gift that lives in one head cannot be handed to a crew, held steady on a busy day, or checked after the fact. You do not fix this by dulling the gift. You fix it by writing the gift down once, as a standard, so the same judgment runs on every job whether or not the owner is the one quoting. He has already proven he can do this: he runs the schedule and the truck stock on documented systems precisely so they do not depend on his memory. The standard is that same move, applied to the estimate.

The margin chain -- exactly where the math breaks

Margin = Jobs × Win rate × Price-to-target × Cost captured × Repeat. Plug in what the numbers show:

THE MARGIN CHAIN · IT BREAKS AT THE TWO MIDDLE LINKS

Margin is a product, not a sum, so fix the two red links first. Two of the five links leak: Price-to-target (jobs priced by gut land under the margin they should earn) and Cost captured (change orders and materials go unbilled). Because the terms multiply, two leaking links drag the whole result down no matter how healthy Jobs, Win rate, and Repeat are. What it means for you: both red links are fixed by one thing, the standard (Section 03), so that is the first dollar to spend.

JOBS & WIN RATE

Healthy. Plenty of demand, good close rate on quotes. Not the problem.

PRICE-TO-TARGET

Under. Priced by gut, so jobs land below the margin they should earn. **The first place margin leaks.** Fixed by the standard estimate (Section 03).

COST CAPTURED

Leaking. Change orders unbilled, materials marked up by feel. **The second leak.** Fixed by the change-order rule and job-costing (Section 03).

REPEAT

Strong. Customers rebook and refer. Not the problem.

The evidence, from the firm's own jobs

WHAT SHOWS UP IN THE TICKETS	WHAT IT PROVES
The same job, quoted by two techs, comes out at two different prices	No standard. The number depends on the person, not the work.
Change orders get done in the moment, but many never reach the invoice	Scope grows, the bill does not. Margin given away free.
Material markup varies job to job, sometimes zero	A real cost passed through at cost, or under. A quiet, steady leak.
No report of what any job actually cost versus what it was quoted	The leak is invisible: a missed-margin job looks like a good one.

STRESS-TESTED FROM FIVE ANGLES

The finding was deliberately attacked before it was trusted. The convenient answers all fail. "Raise prices across the board" raises the variance, not the margin, because the estimate is still a guess. "Chase more leads" pours volume through the same leak. "Cut the crew" attacks delivery, which is the part that works. "Buy better software" without a standard just digitizes the guessing. The one fix that survives every angle is the standard: price every job the same way to a target margin, capture what it costs, review the two against each other.

DO THIS

Because the math leaks at Price-to-target and Cost captured, and both are fixed by one artifact, point all effort at the standard (Section 03) first. Do not raise prices or buy software yet; the chain shows those moves return little until the estimate is consistent.

02 The Binding Constraint -- and What It Costs

THE BINDING CONSTRAINT

The firm wins the work and delivers it well, but the margin leaks at the estimate: every job is priced by gut in the field, change orders and materials are uncaptured, and nobody can see what a job actually earned. The constraint is the missing standard: a documented estimate priced to a target margin, a change-order capture rule, and a quick per-job cost review. More volume and bigger jobs (the obvious next moves) only pay off once the standard sets a healthy margin for them to multiply.

SIZING THE CONSTRAINT -- WHAT THE MISSING STANDARD COSTS

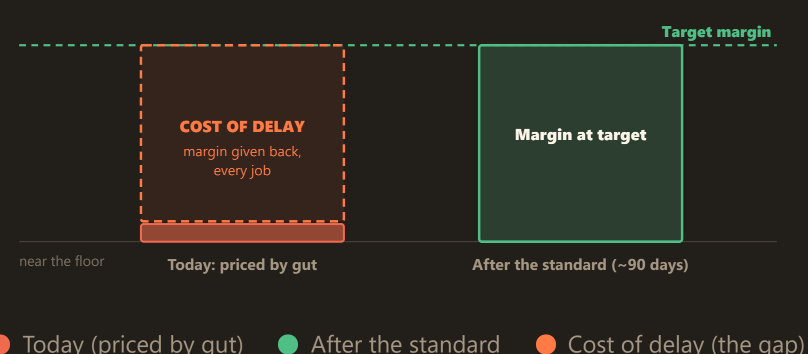
A Margin Diagnostic should put a number on the margin being lost, so this sizes it two ways and holds the estimate deliberately conservative. The real figures come from the firm's own job data; the ranges below are illustrative of the pattern, not measured.

1. Points of margin per job. When jobs are priced by gut and extras go unbilled, it is common for a few points of margin to slip on each ticket. Spread across a full year of jobs, a few points off the top of every job is the gap between a thin year and a healthy one. The exact points are unknown until the costs are captured, which is the whole reason cost capture is in the fix.

2. The compounding. The leak is not a one-time loss; it bills every job, every week, for as long as the standard does not exist. A busy schedule makes it worse, not better, because more volume runs more jobs through the same leaky estimate. Growth on a broken estimate grows the leak.

Why this is honest: the points-per-job range is illustrative of the pattern, not a measured number for this firm; the true figure is exactly what the cost review is built to reveal. The point is not a precise dollar amount. It is the ratio: the cheapest fix in this business, a couple of weeks of building a standard, is gating the single most expensive thing in it, the margin on every job.

THE COST OF DELAY · EVERY MONTH THE STANDARD STAYS UNBUILT



The gap is the bill for waiting. Today the estimate is a guess and margin sits near the floor; with the standard built, margin reaches target in about 90 days. The orange gap is what every month of delay costs: margin handed back on every job. What to do: build the standard now, because the fix is a couple of weeks of work and the gap keeps billing until it exists.

The full evidence chain

LINK	EVIDENCE
Demand is not the constraint	Full schedule, busy crews, steady incoming work.
Delivery is not the constraint	Customers rebook and refer; quality is consistently good.
Pricing is inconsistent	The same job quoted by different techs comes out at different prices.
Costs leak at change orders	Scope grows mid-job; many changes never reach the invoice.
Materials leak at markup	Markup varies job to job, sometimes passed through at cost.
The leak is invisible	No per-job report of quoted versus actual cost, so misses hide.
The owner can build standards	Schedule and truck stock already run on documented systems, just not the estimate.

METHOD NOTE

The governing principle here is "fix the weakest link first." The constraint is not demand (the schedule is full), not delivery (customers are happy), and not pricing knowledge (the owner knows his trade). It is structural: the most important number in the business is set by gut, with no standard and no check. Fix the structure and the margin follows.

03 The Fix: The Standard (the keystone deliverable)

This is the headline deliverable. The standard takes the owner's pricing judgment out of his head and turns it into something the whole crew runs the same way, every job. Three parts plus the drill: a standard estimate priced to a target margin, a change-order capture rule, and a weekly job-cost review. Ready to use. The rule for all of it: the standard sets the floor, judgment is allowed above it, never below it.

Part 1 -- The standard estimate (priced to a target margin)

One estimate built the same way every time, so the same job gets the same price no matter who quotes it. It starts from cost, not from a number that feels right, and it builds the target margin in on purpose instead of hoping it survives.

THE ESTIMATE, BUILT IN THIS ORDER -- EVERY JOB

Labor hours × loaded labor rate, plus materials at a set markup, plus a line for known job risk, then the target margin applied on top. The bottom number is the price. Nobody quotes a round number from memory and backs into it.

Why this works: it makes the margin a deliberate input, not a leftover. "Loaded labor rate" means the rate already carries the real cost of putting a tech on site (not just the wage), so labor stops being underpriced. "Materials at a set markup" ends the job-to-job guessing. "A line for known job risk" stops the firm from eating every surprise. And because every estimate is built the same way, two techs quoting the same job land on the same price. Put it on a one-page sheet or a simple spreadsheet the crew fills in; the format matters less than that everyone uses the same one.

Part 2 -- The change-order rule (capture every change before the work)

The single fastest leak to stop. When the scope grows on site, it gets written down and priced before the extra work happens, not absorbed and forgotten. This is one habit, drilled until it is automatic.

THE CHANGE-ORDER LINE -- THE TECH SAYS IT, EVERY TIME

"That is outside what we quoted. I can do it, here is what it adds, do you want me to go ahead?" Then it goes on the ticket before the wrench turns.

It protects the margin and the customer relationship at the same time: no surprise on the final invoice, no free work given away. The rule is simple enough to train into every tech in one toolbox talk.

Part 3 -- The weekly job-cost review (the loop that keeps it honest)

Ten minutes a week, the same three steps, so the margin stays visible and the standard keeps improving. This is the loop that turns a one-time fix into a system that gets better.

1 **PRICE -- every job goes out on the standard estimate.**

No exceptions, no quoting from memory. The standard sets the floor margin; the owner can price above it for a hard or premium job, never below it without a reason written down.

> **RULE**
>
> *Every quote is built on the standard sheet. A price below the floor margin needs a one-line reason, every time.*

> **DONE WHEN**
>
> *The job is quoted from the standard, with target margin built in.*

2 **CAPTURE -- log the actual hours, materials, and every change.**

As the job runs, the real numbers get written down: hours worked, materials used, change orders added. This is the data the firm has never had, and it costs almost nothing to collect.

> **RULE**
>
> *Every change order priced and added before the work. Actual hours and materials logged on the ticket at close-out.*

> **DONE WHEN**
>
> *The ticket shows what the job actually cost, not just what it was quoted.*

3 **REVIEW -- quoted versus actual, ten minutes, every week.**

Once a week, line up quoted margin against actual margin on the jobs that closed. The ones that missed tell you where the standard is wrong or where the leak is. Fix the standard, repeat. This is how the gut judgment becomes a sharpening system.

> **RULE**
>
> *Any job that missed target by a set amount gets a 60-second post-mortem: was it the estimate, the change orders, or the materials? Adjust the standard.*

> **DONE WHEN**
>
> *You know which job types make money and which to reprice or stop taking.*

Part 4 -- Train the crew (so it does not depend on the owner)

The whole point is to get the standard out of the owner's head and into the crew's hands. Walk every tech and estimator through the standard sheet and the change-order line in one session, then have them quote a few real jobs on it with the owner checking. The bar is not "they have seen it." The bar is "anyone on the team prices the same job the same way without me." That is what makes it a standard instead of a document.

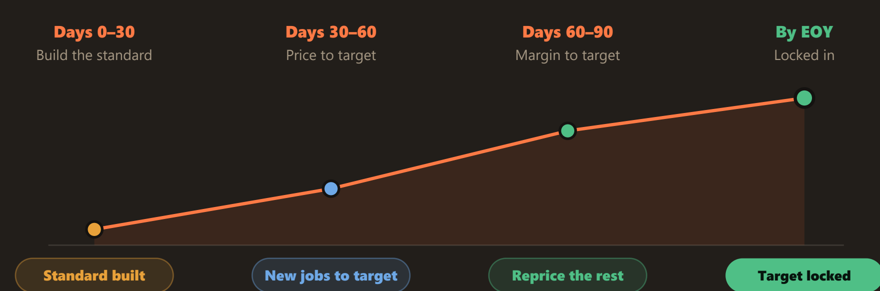
HOW TO ROLL IT OUT (SO IT ACTUALLY STICKS)

Week one: build the standard estimate and set the target margin and floor. Week two: train the crew and start quoting every new job on it. Week three: turn on cost capture at close-out. Week four: run the first weekly review. Inside a month the firm goes from pricing by gut to pricing to a known margin with a check on every job, and the owner can finally see which work is worth chasing.

04 The 30/60/90 -- Margin Back on Every Job

The plan, reverse-engineered from the fix. Build the standard, run new work through it, capture costs, then reprice the rest of the business to match. The goal is not a moonshot; it is a few points of margin back on every job, which on a full schedule is the whole difference.

THE 90-DAY CLIMB TO TARGET MARGIN · THEN LOCKED IN

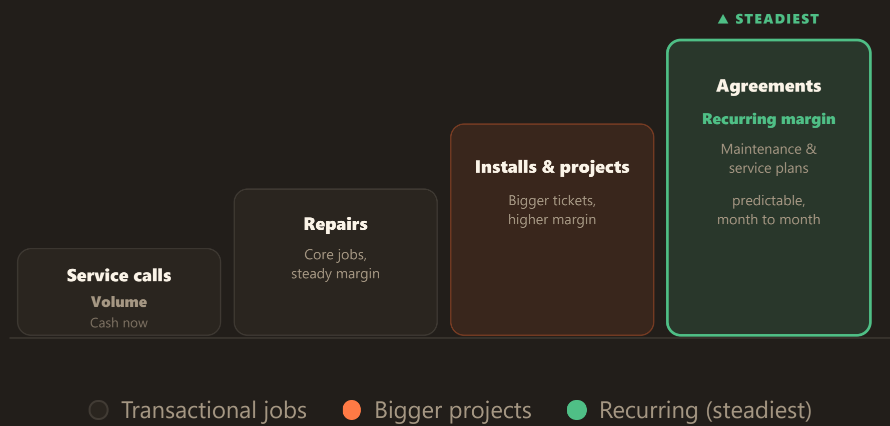


One climb, a quarter long, so you can see what happens when. The standard goes in first (amber), new work starts pricing to target (blue), then margin reaches target and the recurring work gets repriced to match (green), with the year-end margin locked in. What it means for you: this is a quarter of disciplined work, not a reinvention of the business.

THE MARGIN LADDER (WHERE THE STANDARD LIFTS MARGIN)

The standard does not just fix one kind of job. It lifts margin on every rung the firm already runs, from the quick service call up to the recurring agreements that are the steadiest money in the business.

THE MARGIN LADDER · THE STANDARD LIFTS EVERY RUNG



Every rung gets healthier the same way, so fix the estimate once and it pays everywhere. Service calls bring volume and cash; repairs are the core; installs and projects are the bigger tickets; recurring maintenance and service agreements are the steadiest margin in the business. What it means for you: the standard lifts margin on all of them at once, and the recurring rung is where a healthy margin compounds month after month.

The 30/60/90, step by step

Days 0 to 30 -- Build the standard, train the crew
The gate on everything

- **Build the standard estimate** (Section 03): cost-up, set markup, set the target margin and the floor.
- **Train every tech and estimator** on the standard sheet and the change-order line. Have them quote real jobs on it with the owner checking.
- **Quote every new job on the standard** starting now. No more quoting from memory.

Goal by day 30: every new quote runs on the standard; the crew prices the same job the same way.

Days 30 to 60 -- Capture costs, plug the leaks
Make the margin visible

- **Turn on cost capture** at close-out: actual hours, materials, and every change order on the ticket.
- **Run the first weekly reviews:** quoted versus actual on closed jobs. Find the misses, fix the standard.
- **Plug the change-order and material leaks** the reviews surface. These are the fastest dollars back.

Goal by day 60: real per-job margin visible for the first time; the biggest leaks closed.

Days 60 to 90 -- Margin to target, reprice the rest Lock it in

- **New work lands at target margin** consistently, with the weekly review keeping it honest.
- **Reprice the recurring and maintenance work** to the standard so the steadiest money carries a healthy margin too.
- **Decide what to chase and what to drop** now that you can see which job types actually make money.

Goal by day 90: margin at target on new work; recurring work repriced; the year-end margin in clear line of sight.

Top 5 actions, in order

1. **Build the standard estimate and set the target margin and floor** (Section 03). This month. No blanket price increase until it exists.
2. **Train the crew on the standard and the change-order line** so anyone prices the same job the same way.
3. **Turn on cost capture** at close-out: actual hours, materials, and every change order.
4. **Run the weekly quoted-versus-actual review** and fix the standard where jobs miss.
5. **Reprice the recurring and maintenance work** to the standard once new jobs are landing at target.

05 Risks -- What Could Still Get in the Way

Every risk here is mechanical and inside the owner's control. None of them is the market, the demand, or the quality of the work. The problem got smaller and more concrete as the diagnosis sharpened.

1 **The standard gets built but not used (highest)**

The sheet exists, but on a busy day the crew reverts to quoting from memory. Mitigation: train it into a habit, make the standard sheet the only way a quote goes out, and make "below the floor needs a written reason" a hard rule, not a suggestion.

2 **The standard is too rigid and kills good judgment**

Run too strictly, it stops the owner from pricing up a premium or tricky job. Mitigation: the standard is a floor, not a ceiling. Price above it freely; never below it without a reason. Judgment lives above the line.

3 **The owner keeps quoting big jobs by gut**

Small jobs go on the standard, but the big ones (where the most margin is at stake) still get the gut number. Mitigation: the bigger the job, the more the standard matters. Big jobs run on the standard first, always.

4 **Cost capture gets skipped**

The crew prices to the standard but never logs actual hours and materials, so margin stays invisible. Mitigation: make close-out capture a one-minute part of finishing every job, not a separate task.

5 **The weekly review quietly stops**

The reviews happen for a month, then the busy season hits and they fall off. Mitigation: ten minutes, same time every week, owner-led. It is the smallest commitment in the plan and the one that keeps the rest honest.

THE HONEST READ

Every risk here is a habit, not a wall. None of them is "the market," "the price," or "the work." That is the good news: the single thing standing between this firm and a healthy margin is a standard it can build this month and a few habits the crew can hold. Fixable, mechanical, and entirely in the owner's hands.

06 Method & Evidence

METHOD

A structured business audit looked at every part of the firm through eight lenses (demand, delivery, crew, scheduling, pricing, cost capture, margin visibility, and quote speed), scored each on a four-level maturity scale, and used weakest-link analysis to find the one constraint that gates the rest. Layered on top: an issue tree, a 5 Whys driven to root, a margin-chain decomposition, and a read of the firm's own job tickets. The finding was then stress-tested from five independent angles before it was trusted, so the report ships a conclusion that survived attack, not a convenient first answer.

EVIDENCE BASE

- The firm's own job tickets and quotes (primary source): pricing, change orders, material markups, and close-out notes.
- The schedule and dispatch records (showing demand and capacity are healthy).
- Customer rebooking and referral patterns (showing delivery is healthy).
- The owner's account of how pricing actually happens in the field.

HOW A DIAGNOSTIC EARNS ITS KEEP

The whole value of an outside diagnostic is that it sees the leak the inside cannot, because the leak hides one job at a time. The method is built to name one constraint, prove it with your own numbers, and hand back a fix you can run, not a binder you file. That is the standard this sample was held to.

BOTTOM LINE

The demand is real, the work is good, and the fix is small: one standard estimate priced to a target margin, a change-order rule, and a ten-minute weekly review, so the margin stops leaking out one job at a time. Build the standard this month. Train the crew. Capture the costs. Review every week. A busy schedule is supposed to make money, and with the standard in place it finally does.

YOUR BUSINESS, NOT A COMPOSITE

This is the kind of leak I find in a 2-minute scan. Want yours?

This report is a sample, built on a composite. The real one starts with your numbers. Most of what drained the margin above is invisible from the inside, because it hides one job, one invoice, one week at a time. That is exactly what a diagnostic is for, and it is why an outside read pays for itself.

IMAGINE THE AFTER

One binding constraint, named and proven with your own numbers, and a fix you can put in front of your team on Monday. Not a 90-page strategy you file and forget. One thing to fix first, and the steps to fix it.

Scan my business (free, 2 min) → **Book a short call →**

Low commitment by design. Start with the free scan, or step up to a small, fast paid diagnostic with no big upfront contract behind it. You get the one constraint, the proof, and the Monday plan. And if a tool fixes it, I will tell you which one. If AI is the answer, I will say so. If it is not, I will tell you that too. Most of the time, it is not.

Finding: demand and delivery are healthy; the binding constraint is the missing pricing-and-cost standard (a documented estimate priced to a target margin, a change-order capture rule, and a weekly quoted-versus-actual review) that stops margin leaking out one job at a time. Method: a structured business audit, four-level maturity scoring, weakest-link analysis, and an independent red-team review of the firm's own numbers.